Video transcript

Telling Stories with Data in 3 Steps (Quick Study)

Storytelling with data.

Everybody's doing it, right?

You're not doing it?

You should be doing it.

You've been told you should be doing it.

Storytelling with data is the big thing.

[MUSIC PLAYING]

Well, it turns out you should be doing storytelling with data, but it's a lot easier than you probably think it is. Once you know the three elements of a story, setup, conflict, resolution, you can start telling stories with your data. Setup, conflict, resolution. Every story ever told from the beginning of time follows this structure. It's really that simple.

Setup.

Charlie Brown runs toward the ball.

Conflict.

Lucy takes the ball away at the last second.

Resolution?

[Yelling] Ahhhh!

And a setup is just some reality. And by reality, we just mean a situation. It could be fictional, but it's a reality you've created for the story.

And then you have conflict, which has changed that reality. Without change, there is no story. You just have a bored audience.

The resolution is just the new reality that the change creates.

So with that in place, we can now take a chart, and we're going to break it down, pull it apart, find the stories in it, find the setups, the conflicts, the resolutions, and we're going to rebuild it as a storytelling device.

[MUSIC PLAYING]

OK.

Now we're back with a chart. This is Global Real Home Price Index. The index is 100 and you see a bunch of lines for countries. There's a gray line in there. That's the aggregate as well.

This chart is really showing home prices in a lot of different places in the world, and that's where I'm starting.

So, I want to find the stories in here. And the first thing I start to notice, really, are a couple of things. I obviously noticed that big hump on the green line there. That's Japan. And I noticed that point where everything comes together. To me, that immediately says those are probably two places where there's conflict, but I realized something as I'm looking at this, and I'm glad I did, because otherwise, I would have had the wrong story. And that is that these home prices are indexed to 2005. So, the fact they come together there at 2005 doesn't mean the prices came together. That just means those are the dollars that the people who made the chart used to show the change in house prices over time.

So, there's really no conflict there. And in fact, I think that's my setup. That's where we start, because that's where they started. I can still tell those two stories on the left and on the right, but I start there instead of at the beginning of the chart. I can look backward and say, home prices rose steadily in most places in the world for 30 years except for in Japan, which experienced a three decade long bubble, and that is a perfectly good story.

The setup is home prices rose steadily in most places, except in Japan, which is the conflict.

And the resolution?

It experienced this 30 year bubble. And then working from 2005 to the right, I have another story, which is that there was a smaller house bubble, housing price bubble in most places except Japan. So now, the story has flipped, but something different happened this time, and that is that the market's bifurcated. And you ended up with three markets, Australia, Canada, and New Zealand rising again, looking much like a bubble, and the rest falling and then rising back to about 2005 levels.

So, I've really started to see a couple of stories emerge here.

One, both starting in 2005, because that's where our prices start, and one sort of working backward in time, and one working forward in time.

[MUSIC PLAYING]

OK, so I'm going to spare you most of my sketching because it's so messy and chaotic, it probably would just give you a headache. But I did a bunch of sketching, and I arrived at these final charts. And I've split the chart up into a couple of states. It really helps your audience focus.

So, here's my setup.

You can see it. Prices rose steadily in most places in the world. I try to use my titles to actually reflect the story in here. The steady increase reflects that setup. Instead of just using a generic title about global real home prices, which is boring and not helpful, the title can really do some work for me here.

And then, I want to add the conflict and resolution state, too.

There it is. You can see we've added Japan, Except in Japan in the title, and that conflict and resolution becomes clear that Japan was this bubble that lasted 30 years that was different than everywhere else. And you can see as I present this, it almost looks seamless, as if I'm just showing you one chart that changes state. So then I'm just going to repeat this process for going forward.

And you see here, I've included my setup, conflict, and resolution altogether in one state. You see that little bubble and then you see the bifurcation of the market. But the most important thing is, I've really highlighted the elements of the story in both cases and nothing else. I've left out any information that

might distract from telling that story. I've not focused on anything that doesn't matter to telling that simple story of setup, conflict, and resolution.

Narrative is the most powerful, most human tool we have to communicate. If you can apply storytelling to your data, it creates an emotional connection with the audience. They're not only going to believe what you show them, they're going to feel it.